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MLS 745: Alternative Dispute Resolution

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Applying Alternative Dispute Resolution Principles to a New Honda Civic Purchase Negotiation:

Alternative Dispute Resolution (ADR) principles are typically associated with formal legal disputes; however, the psychological, strategic, and structural components of ADR are equally present in everyday negotiations. One of the most structured and psychologically complex consumer negotiations occurs during the purchase of a new vehicle. This paper analyzes a real-life negotiation in which I purchased a new Honda Civic from a franchised dealership and evaluates how ADR concepts—including anchoring, BATNA analysis, cognitive bias awareness, emotional regulation, listening strategy, conflict styles, persuasion theory, and integrative bargaining—shaped both the negotiation process and the outcome. Applying the principles learned throughout this course shows that ADR is not merely an alternative to litigation but a disciplined framework for rational problem-solving in any high-stakes interaction.

Background of the Negotiation

The negotiation involved the purchase of a new Honda Civic with a manufacturer's suggested retail price (MSRP) of approximately \$26,900. Because of current supply constraints and market conditions, the dealership listed the vehicle at MSRP and included additional dealer-installed accessories and documentation fees that raised the effective purchase price. The

dealership emphasized strong demand for the Honda Civic, limited inventory availability, and “non-negotiable” pricing structures.

Prior to entering the dealership, I prepared extensively. I reviewed invoice pricing estimates, regional inventory levels, manufacturer incentives, and competing dealership listings within a 75-mile radius. I also secured pre-approved financing from a credit union, which allowed me to separate vehicle price negotiation from financing negotiation. My objective was to purchase the vehicle at a price closer to invoice value while eliminating unnecessary add-ons and inflated administrative fees.

From the outset, this would be a structured distributive negotiation, where both sides were initially focused on price positioning. However, applying ADR principles transformed the interaction from adversarial bargaining into strategic problem-solving.

Anchoring Bias and Strategic Counter-Anchoring

Anchoring bias plays a vital role in automobile negotiations. As discussed in “Negotiation Tips,” the first number introduced into a negotiation shapes the range of acceptable outcomes (“Negotiation Tips”). The dealership anchored the negotiation at MSRP plus fees, implicitly framing this number as fixed and justified by market conditions.

Had I accepted this anchor as legitimate, even subconsciously, the outcome would have remained close to that figure. Instead, I deliberately refrained from responding immediately. The lecture cautions negotiators to be careful about making the first offer unless they possess strong objective criteria (“Negotiation Tips”). Because I had conducted research and gathered third-party data, I felt prepared to counter-offer credibly.

After allowing the salesperson to justify the listed price, I presented a counteroffer approximately \$2,500 below the dealership's total asking price. Importantly, I supported my offer with objective criteria: comparable listings from nearby dealerships and manufacturer incentive data. This approach reflects the emphasis on objective standards as a legitimizing force in negotiations. Rather than arguing emotionally that the price was unfair, I asked: "How does this pricing compare to similar Civics currently listed within this region?"

This technique aligns directly with the strategic question encouraged in the lecture: "Where did you get that number?" ("Negotiation Tips"). Forcing justification weakens unsupported anchors and shifts negotiation from positional assertion to analytical reasoning.

BATNA: The Foundation of Leverage

The most significant source of leverage in this negotiation was my **BATNA—the Best Alternative to a Negotiated Agreement**. As emphasized in the "Singer and Opera House Negotiation Debrief," the party with the stronger alternative holds greater negotiating power ("Singer and Opera House Negotiation Debrief").

Before visiting the dealership, I had identified two other Honda dealerships with comparable inventory and obtained preliminary pricing estimates. I also secured financing independently. This preparation ensured that I was not dependent on that single dealership.

When the salesperson stated that the price was firm, I calmly explained that I appreciated their time but would continue exploring options with other dealerships. This was not a bluff; it reflected a genuine alternative. Shortly thereafter, the dealership returned with a revised offer that reduced fees and adjusted pricing.

This interaction illustrates a fundamental ADR lesson: leverage comes from preparation, not aggression. BATNA provides confidence and reduces emotional reactivity because the negotiator knows walking away is viable.

Cognitive Bias and the Ladder of Inference

Cognitive biases were present throughout the negotiation. The dealership leveraged scarcity bias by emphasizing limited inventory and high demand (“Persuasion Part 1”). Scarcity increases perceived value and encourages impulsive decision-making.

At the same time, I was mindful of overconfidence bias in myself. Overconfidence bias, defined as overestimating one’s accuracy or negotiating position, can distort decision-making (“Cognitive Bias”). To avoid this trap, I asked open-ended questions about pricing structures rather than assuming misconduct.

The ladder of inference described in “EQ Part 2” explained how quickly individuals move from observation to conclusion (“EQ Part 2”). For example, hearing “This price is non-negotiable” could easily trigger the assumption that the dealership was acting in bad faith. Instead of climbing the ladder, selecting data, assigning meaning, drawing conclusions, I remained on the lower rungs by seeking clarification. This emotional discipline prevented escalation and maintained rational dialogue.

Ego, Emotion, and Escalation

The “Negotiation Tips” lecture warns that ego plus emotion leads to escalation (“Negotiation Tips”). During the negotiation, there were moments when the finance manager expressed visible frustration. A defensive response could have triggered reciprocal escalation.

Instead, I maintained neutral tone and body language. I focused on facts rather than personalities. By avoiding emotional reciprocity, I prevented the interaction from becoming adversarial. This approach reflects the importance of emotional intelligence in dispute resolution.

ADR requires managing not only the other party's emotions but one's own. The ability to remain composed under pressure is itself a strategic advantage.

Listening as an Information Acquisition

"The Listening Transcript" emphasizes that the person who listens most effectively often controls the negotiation because information is power ("Listening Transcript"). I intentionally encouraged the salesperson to speak at length about dealership incentives, manufacturer bonuses, and monthly sales goals.

Through attentive listening, I learned the dealership was nearing the end of its sales cycle and was attempting to qualify for volume-based manufacturer incentives. This information was not explicitly offered but emerged through conversation.

Recognizing this underlying interest allowed me to shift strategy. Instead of focusing only on price reduction, I emphasized my readiness to complete the transaction immediately if the pricing aligned with objective data.

The Just Do It exercise illustrates the importance of uncovering interests rather than debating positions ("Just Do It"). My position was at a lower price. The dealership's interest was achieving monthly sales targets. By aligning timing with their incentives, I created space for agreement.

Integrative Bargaining and Value Creation

Rather than concentrating solely on base price reduction, I explored additional value-creating concessions. The “Singer and Opera House Negotiation Debrief” highlights the importance of identifying low-cost/high-value trades (“Singer and Opera House Negotiation Debrief”).

I requested complimentary maintenance services, reduction of documentation fees, and inclusion of accessories such as floor mats. These concessions carried minimal marginal cost for the dealership but meaningful value for me.

This strategy reflects integrative bargaining—expanding the negotiation beyond a single distributive issue. Instead of fighting over one number, the discussion expanded to multiple variables. Integrative bargaining often reduces tension because it allows both parties to claim victory in different dimensions.

Conflict Styles and Strategic Adaptation

According to the Thomas-Kilmann framework, conflict styles vary along assertiveness and cooperativeness (“Conflict Styles”). The dealership initially adopted a competing style: high assertiveness and low cooperativeness. I consciously adopted a collaborative style—high assertiveness combined with a cooperative tone.

The platinum rule discussed in “Conflict Styles” suggested treating others as they prefer to be treated (“Conflict Styles”). By maintaining respectful communication and avoiding personal criticism, I reduced defensiveness. A purely competitive approach might have triggered resistance or shutdown. Collaboration preserved dialogue while protecting my interests.

The Role of Silence

“Negotiation Tips” emphasizes the strategic use of silence (“Negotiation Tips”). After receiving counter offers, I deliberately paused before responding. Silence often creates psychological discomfort, prompting the other party to elaborate or improve their offer.

By resisting the impulse to respond immediately, I avoided premature concessions and allowed the dealership to adjust voluntarily. Silence is not passive; it is a deliberate communication strategy.

Ethical Considerations and the Negotiator’s Dilemma

The “Teddy Roosevelt Exercise” raises ethical questions about strategic framing and disclosure (“Teddy Roosevelt Exercise”). Negotiation involves selective information disclosure. As described in “Negotiation Tips,” the negotiator’s dilemma concerns what to reveal and when (“Negotiation Tips”).

I did not disclose my reservation price, which is standard practice. However, I avoided misrepresentation. I did not fabricate competing offers or misstate financial capacity.

Ethical negotiation permits strategic withholding but prohibits deception. Maintaining integrity preserves long-term credibility.

Comparison of Mediation and Arbitration

Although this negotiation occurred directly between buyer and seller, ADR theory helps contextualize alternative pathways. If the dispute had escalated—for example, regarding

financing terms or warranty disputes—mediation would have provided structured facilitation and confidentiality.

Arbitration would have imposed a binding decision and eliminated flexibility. As discussed in the course materials, arbitration resembles litigation in structure and reduces creative problem-solving opportunities. This negotiation illustrates that early strategic negotiation often prevents the need for more formal ADR mechanisms.

Outcome

After several structured exchanges, the dealership reduced the total purchase price by approximately \$2,300 and included complimentary maintenance services while lowering documentation fees. The final agreement fell within my target range and allowed the dealership to complete a timely sale. The negotiation concluded without hostility or escalation. Both parties achieved primary objectives.

Conclusion

The negotiation of a new Honda Civic shows that ADR principles extend far beyond formal dispute resolution. Anchoring, BATNA preparation, cognitive bias awareness, emotional regulation, listening strategy, integrative bargaining, and collaborative conflict management all shaped the outcome.

This experience reinforces a central lesson of the course: effective negotiation depends on preparation, psychological insight, disciplined communication, and emotional intelligence. ADR frameworks provide not merely alternatives to litigation but structured tools for rational and efficient conflict resolution in everyday life.

Works Cited

1. Cognitive Bias. MLS Course Video Lecture, Canvas, 2026.
2. Conflict Styles. MLS Course Video Lecture, Canvas, 2026.
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4. Just Do It. MLS Course Video Lecture, Canvas, 2026.
5. Listening. MLS Course Video Lecture, Canvas, 2026.
6. Negotiation Tips. MLS Course Video Lecture, Canvas, 2026.
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9. Teddy Roosevelt Exercise. MLS Course Video Lecture, Canvas, 2026.